

Financial Controls Policy



The controls Bylaws Section 10.2 calls for: how the corporation's money is approved, moved, recorded, and checked. Sized for a working board with no staff; the board strengthens these controls as the corporation grows.

THE ONE RULE UNDER ALL THE OTHERS

No single person controls a payment from start to finish. Whoever approves does not pay alone; whoever pays does not reconcile alone; whoever reconciles does not sign. With a small board this is achieved by cross-checks between the Treasurer, the Chair, and a non-signing director rather than by separate departments.

APPROVING

- Every disbursement traces to an authority: a board resolution, the approved budget, an approved reimbursement request, or an approved pre-approval form.
- Any single expense over \$250 is approved before it is incurred, under the Expense Reimbursement Policy.
- Any single disbursement over the dual-authorization threshold requires two authorizations: the Treasurer and the Chair. The threshold is \$5,000 or, once an annual budget is adopted, one percent of budgeted annual expenses, whichever is greater.
- No person authorizes a payment to themselves; the cross-approval rule of the Expense Reimbursement Policy applies to every payment.

MOVING MONEY

- Accounts are held only at depositories approved by board resolution, with signers named by that resolution.
- Online banking credentials belong to named individuals and are never shared; the Treasurer and one board-named backup hold access.
- No instrument is signed blank, and no payment is made from an account the board has not approved.
- No loans to directors or officers, ever, per the bylaws.

RECORDING AND CHECKING

- Books are kept current under Bylaws Section 10.8; every transaction carries its documentation.
- Bank accounts are reconciled monthly by the Treasurer.
- Each quarter, a director who is not an account signer reviews the reconciliations and bank statements and initials the review. This is the check on the checker.
- Physical cash, when received, is counted by two people and logged the day it arrives.
- The Treasurer's Report presents position, activity, and flags at each board meeting.

ADOPTION

Adopted as board policy by resolution of the Board of Directors on _____,
recorded in the minutes. Amounts and assignments may be revised by resolution; the board reviews
these controls annually with the policy review.